

Recursion Pharmaceuticals

NASDAQ : RXXR · Young- \$2.02B mkt cap · 510M sh · \$665M cash, zero debt · \$0.665B cash (Q1'26); runway into early 2028; burn ~\$340M/yr; FY25 revenue \$74.7M (+27%) — all collaboration/milestone, no product sales; Down ~3% YTD to ~\$3.97; ~510M shares post-Exscientia merger + ATM

\$3.97

THE CENTRAL QUESTION

At \$3.97 with ~\$1.3/share of net cash, is RXXR a cheap option on AI-drug-discovery validation, or a platform that funds itself toward dilutive stagnation?

Recursion runs an AI-drug-discovery platform — automated wet-lab Phenomaps plus an NVIDIA supercomputer — that maps cellular phenotypes to find drug candidates. After the Exscientia merger doubled the share count, it trades at \$3.97 (~\$2.02B cap) on FY25 revenue of \$74.7M that is entirely collaboration income — no approved drug. Funded into early 2028, the near-term risk is dilution, not insolvency. The DCF asks whether the platform ever yields an economically-meaningful approved drug. Weighted fair value is \$3.85, ~3% below spot — roughly fair; the modal base sits below the price, so the answer rides the right tail.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$3.85

expected fair value today  
-2.9% vs spot \$3.97

most likely case (base) -81.1% · 77% at or below spot

FORWARD COMPOUNDED VALUE

| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$6.14     | \$9.80     | \$15.64    | \$24.97    |
| 1.55× spot | 2.47× spot | 3.94× spot | 6.29× spot |

WEIGHTING RATIONALE

Ultra Bear 15% Platform never delivers; milestone-only revenue, heavy dilution toward the cash floor.

Bear 30% One or two small partnered wins; revenue stays sub-scale and dilution offsets it.

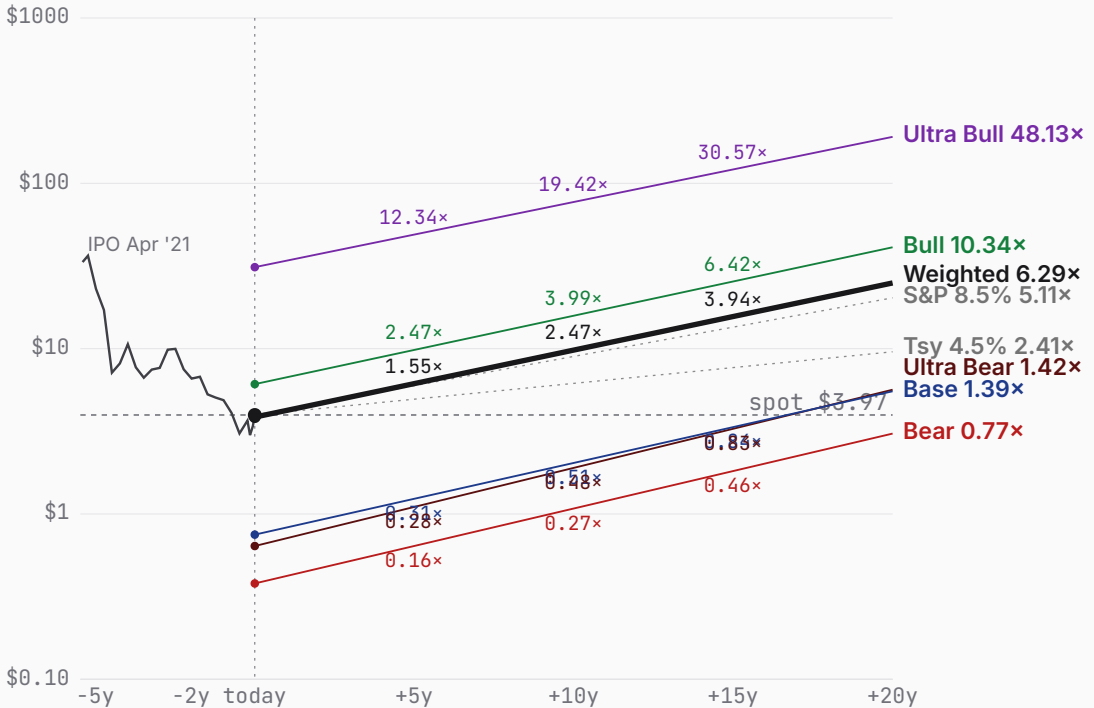
Base 32% Modest validation — a few wins plus broader partnerships; ~\$0.9B revenue, still dilutive.

Bull 15% AI discovery becomes a real engine — multiple approvals, royalty and licensing income.

Ultra Bull 8% Recursion OS becomes a dominant tech-bio platform; a pharma-scale outcome.

Bull (15%) + Ultra Bull (8%) together contribute \$3.40 — 88% of the \$3.85 expected value despite 23% combined probability. Today's spot (\$3.97) sits 3% above the weighted expected; the forward-weighted value reaches spot within a year.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                           | \$0.64         | BEAR                                                   | \$0.38         | BASE                                        | \$0.75         | BULL                                     | \$6.10         | ULTRA BULL                              | \$31.11         |
|------------------------------------------------------|----------------|--------------------------------------------------------|----------------|---------------------------------------------|----------------|------------------------------------------|----------------|-----------------------------------------|-----------------|
|                                                      | -83.9% vs spot |                                                        | -90.4% vs spot |                                             | -81.1% vs spot |                                          | +53.7% vs spot |                                         | +683.6% vs spot |
| TAM 0.3% P(fail) 85%<br>S2C 1.0 Prob 15%             |                | TAM 1.0% P(fail) 55%<br>S2C 1.1 Prob 30%               |                | TAM 1.8% P(fail) 35%<br>S2C 1.1 Prob 32%    |                | TAM 5.0% P(fail) 15%<br>S2C 1.3 Prob 15% |                | TAM 10.4% P(fail) 8%<br>S2C 1.5 Prob 8% |                 |
| Platform never delivers; dilutive grind to the floor |                | A couple small partnered wins; revenue stays sub-scale |                | Platform validates modestly; still dilutive |                | AI discovery becomes a real engine       |                | A dominant tech-bio platform            |                 |



# Recursion Pharmaceuticals scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 32% Bull 15% Ultra Bull 8% · Weighted expected \$3.85 (-2.9% vs spot)

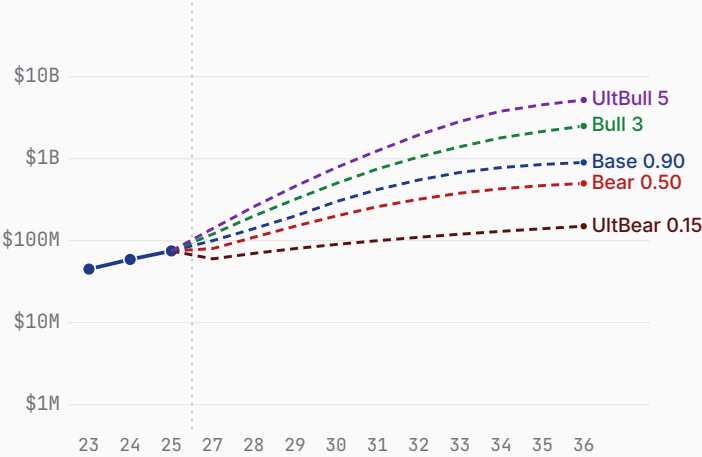
| ULTRA BEAR                                                                                                                                                                                                                                                                                                        | \$0.64         | BEAR                                                                                                                                                                                                                                                                                         | \$0.38         | BASE                                                                                                                                                                                                                                                                                                                      | \$0.75         | BULL                                                                                                                                                                                                                                                                                                                | \$6.10         | ULTRA BULL                                                                                                                                                                                                                                                                                  | \$31.11         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
|                                                                                                                                                                                                                                                                                                                   | -83.9% vs spot |                                                                                                                                                                                                                                                                                              | -90.4% vs spot |                                                                                                                                                                                                                                                                                                                           | -81.1% vs spot |                                                                                                                                                                                                                                                                                                                     | +53.7% vs spot |                                                                                                                                                                                                                                                                                             | +683.6% vs spot |
| Probability 15%                                                                                                                                                                                                                                                                                                   |                | Probability 30%                                                                                                                                                                                                                                                                              |                | Probability 32%                                                                                                                                                                                                                                                                                                           |                | Probability 15%                                                                                                                                                                                                                                                                                                     |                | Probability 8%                                                                                                                                                                                                                                                                              |                 |
| Platform never delivers; dilutive grind to the floor                                                                                                                                                                                                                                                              |                | A couple small partnered wins; revenue stays sub-scale                                                                                                                                                                                                                                       |                | Platform validates modestly; still dilutive                                                                                                                                                                                                                                                                               |                | AI discovery becomes a real engine                                                                                                                                                                                                                                                                                  |                | A dominant tech-bio platform                                                                                                                                                                                                                                                                |                 |
| WHY 15%                                                                                                                                                                                                                                                                                                           |                | WHY 30%                                                                                                                                                                                                                                                                                      |                | WHY 32%                                                                                                                                                                                                                                                                                                                   |                | WHY 15%                                                                                                                                                                                                                                                                                                             |                | WHY 8%                                                                                                                                                                                                                                                                                      |                 |
| A 15% read. The platform has zero approved drugs and NVIDIA fully exited its equity in Feb 2026 — a negative external signal. An 85% p_fail reflects that AI-bio has, industry-wide, not yet produced an approved drug.                                                                                           |                | A 30% read — the heaviest single weight. Reflects partial platform validation: Roche, Sanofi, and Bayer deals exist and Sanofi paid a fifth milestone in Feb 2026, but a 55% p_fail captures how rarely partnered candidates clear.                                                          |                | A 32% read, the modal case. A 35% p_fail assumes the platform delivers at least modest product or royalty economics within the decade — consistent with three named pharma partners but no approved drug yet.                                                                                                             |                | A 15% read. Requires the data flywheel to translate into repeated approvals — a 15% p_fail. Anchored to the combo and registrational readouts due 2026-2027, which would be the first hard evidence the engine produces drugs.                                                                                      |                | An 8% read. The lowest-probability, highest-payoff outcome: an 8% p_fail and a winner-take-most platform result. It assumes the Phenomap data advantage becomes a durable cornered resource the rest of AI-bio cannot replicate.                                                            |                 |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                      |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                 |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                              |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                        |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                |                 |
| The Recursion OS produces no approved, economically-meaningful drug. Revenue stays milestone-only and sub-scale — about \$0.15B by FY35 at a 3% operating margin — as partnered programs stall and pharma interest in the platform fades. The discovery engine is real but never converts into product royalties. |                | One or two partnered programs reach approval or meaningful royalty, but the platform never becomes a self-sustaining engine. Revenue reaches about \$0.50B by FY35 at a 22% operating margin — better than milestone-only, yet far short of the scale needed to justify a platform multiple. |                | Recursion OS proves itself in a limited way — a couple of pipeline or royalty wins plus expanding pharma partnerships. Revenue reaches about \$0.90B by FY35 at a 28% operating margin as collaboration income broadens into early product and royalty streams. The platform earns credibility without becoming dominant. |                | The platform converts into a genuine discovery engine — multiple approvals across the pipeline (REC-617, REC-4881, REC-1245 and successors), plus royalty and platform-licensing income. Revenue reaches about \$2.50B by FY35 at a 35% operating margin as the Phenomap flywheel compounds into repeatable output. |                | Recursion OS becomes a dominant tech-bio platform — the standard layer for AI-driven discovery, licensed broadly and generating a major pharma-scale outcome. Revenue reaches about \$5.20B by FY35 at a 40% operating margin as platform economics, not single drugs, drive the model.     |                 |
| With nothing to fund itself, the company raises roughly \$1.15B over the decade, pushing the share count toward 970M. The DCF lands at ~\$0.24; the \$0.80 distress floor and residual cash drive the expected value to \$0.64. The bet expires worthless except for the balance sheet.                           |                | Continued spending forces roughly \$1.1B of raises, lifting shares toward 877M and offsetting much of the operating progress. The DCF is ~\$0.14 and the expected value \$0.38. Real science, but the economics never outrun the dilution.                                                   |                | Growth still outpaces internal funding, so roughly \$1.2B is raised and shares drift toward 810M. The DCF is \$0.72 and the expected value \$0.75 — both below spot. The modal outcome validates the science yet leaves the equity worth less than today's price.                                                         |                | Milestones and royalties fund more of the spend, so dilution eases and shares settle near 616M. The DCF is \$7.03 and the expected value \$6.10 — ~54% above spot. This is the first scenario where platform value clearly exceeds the price paid.                                                                  |                | Self-funding largely replaces dilution and the equity compounds toward roughly \$19B. The DCF is \$33.75 and the expected value \$31.11 — about eight times spot. This tail is where the bulk of the weighted value lives, and it depends on the platform cornering the discovery resource. |                 |

Recursion Pharmaceuticals business snapshot

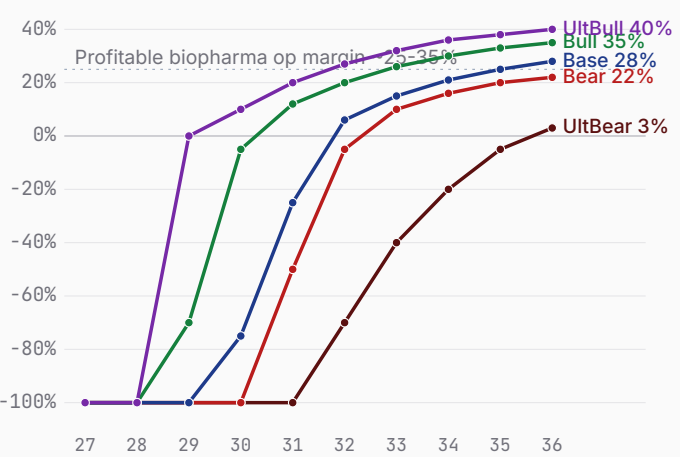
Bear \$0.38 Base \$0.75 Bull \$6.10

FY23-FY25 history + FY26-FY35 scenario projections · fiscal years end Dec 31 · Q1'26 (May 2026) release

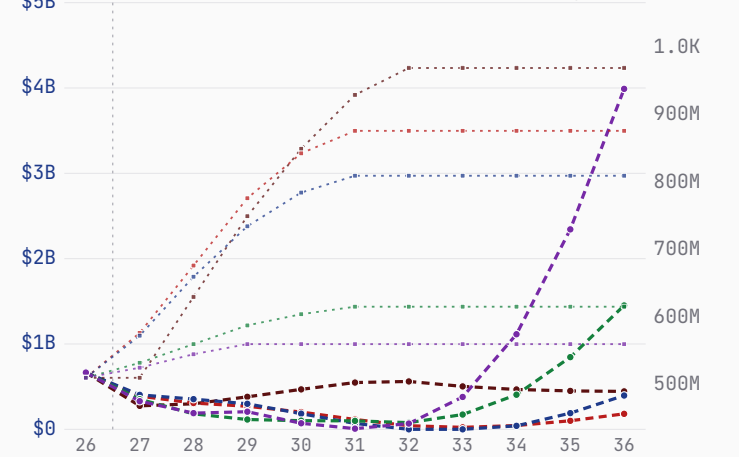
Revenue — history + scenarios to FY36 (log)



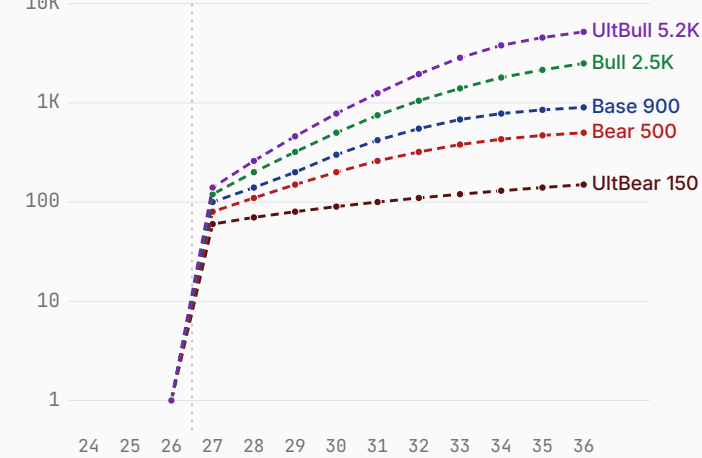
Path to profitability — op margin (FY27→FY36)



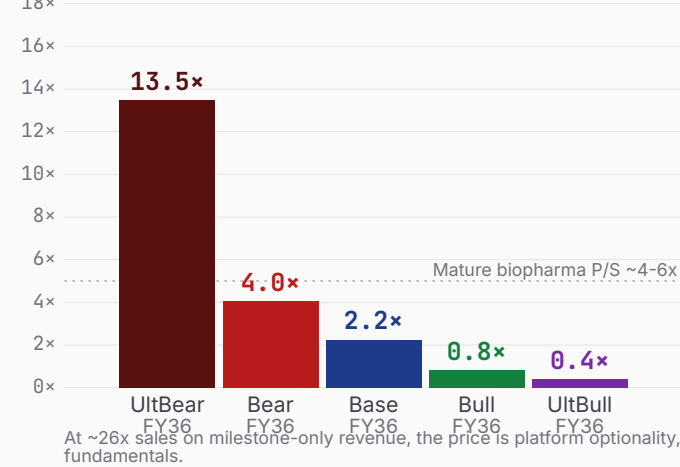
Cash + dilution (FY26 → FY36)



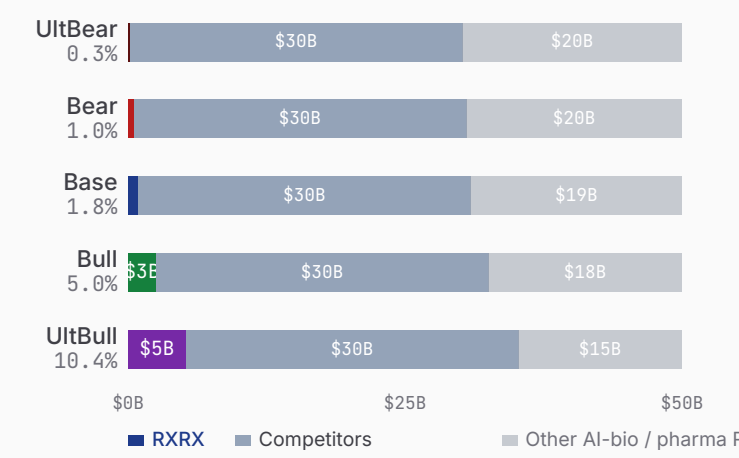
Revenue ramp (log)



\$2.02B mkt cap as P/S on FY36 rev



\$50B AI-enabled drug-discovery value — RXRX share



Sources: RXRX FY2025 results + Q1'26 8-K (CIK 1601830), company runway/burn guidance. Revenue is collaboration/milestone income (no product sales). FCF is NOL-shielded pre-tax over the explicit window (documented simplification). TAM: a serviceable slice of AI-enabled drug-discovery value, ~\$50B.

Recursion Pharmaceuticals

7 Powers · the moat, scored

Bear \$0.38 Base \$0.75 Bull \$6.10

Arena. AI-driven drug discovery — turning proprietary biological data into approved drugs — where RXRX competes with private AI-bio labs, one public peer, and big-pharma in-house AI.

POWER ORIENTATION

origination window: open

POWER ORIENTATION · 7 POWERS

|                                       |                                                                                                                                                    |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| Scale Economies                       | Compute and wet-lab automation scale, but no fixed-cost moat until products generate revenue.                                                      |
| Network Economies                     | No two-sided network; more partners help data, but value does not compound across users.                                                           |
| Counter-Positioning                   | Tech-bio model big pharma is slow to copy, but pharma is building its own AI in parallel.                                                          |
| Switching Costs                       | Multi-year collaborations create some stickiness, but partners run several AI vendors at once.                                                     |
| Branding                              | No brand power pre-approval; credibility rests on data, not name.                                                                                  |
| Cornered Resource · thesis leans here | The Phenomap dataset and BioHive-2 are the strongest candidate — proprietary, hard to replicate at scale, but unproven as a drug-output advantage. |
| Process Power                         | Integrated discovery workflow is distinctive but not yet shown to produce approved drugs repeatably.                                               |

THE RACE · NAMED RIVALS

|                                                                                                                                                                                                              |                       |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|
| Insilico Medicine                                                                                                                                                                                            | Private (VC-backed)   |
| ~0% terminal share · Generative-AI discovery; launched Phase III of AI-discovered rentosertib (~Jul 2026) and signed an Eli Lilly collaboration worth up to \$2.75B (Mar 2026) — a full clinical phase ahead |                       |
| Isomorphic Labs                                                                                                                                                                                              | Alphabet-funded       |
| ~0% terminal share · Alphabet/DeepMind spinout; AlphaFold lineage. \$2.1B Series B (May 2026), the largest AI-drug-discovery raise to date; first clinical trials expected end-2026                          |                       |
| Schrodinger                                                                                                                                                                                                  | Public equity         |
| ~0% terminal share · Physics-based computational platform (the listed comp); Sincere collaboration (Jul 2026), pipeline narrowed to two clinical assets, pivoting toward partnership/software                |                       |
| Big-pharma in-house AI                                                                                                                                                                                       | Pharma balance sheets |
| ~0% terminal share · Roche, Sanofi, Novartis building internal AI — partners and potential substitutes                                                                                                       |                       |

LEAD / LAG · FALSIFIERS

|                                   |                                                                  |         |
|-----------------------------------|------------------------------------------------------------------|---------|
| Approved drugs from AI discovery  | Zero vs Zero (Insilico/Isomorphic/Schrodinger)                   | EVEN    |
| Proprietary phenotypic data scale | Industry-leading Phenomap library vs Smaller / model-based       | LEADING |
| Capital and balance-sheet depth   | ~\$0.665B cash, dilution-funded vs Deeper (Alphabet, big pharma) | LAGGING |

COMPETITIVE READ

No durable Power is originated yet — like all AI-bio, RXRX has zero approved drugs, so switching costs, branding and scale economies are still latent. The one candidate is a cornered resource: the Phenomap dataset and BioHive-2 compute generate proprietary phenotypic data at a scale rivals cannot easily match. The competitive clock is now ticking louder: in mid-2026 Insilico moved a molecule into Phase III (a full clinical phase ahead of Recursion), Isomorphic raised a record \$2.1B, and Schrodinger narrowed to a two-asset partnership model — the exact "well-capitalized rivals close the gap" pressure the bull thesis names as its falsifier. Yet the window has not closed: no rival has an approved AI-discovered drug either, so the head-to-head on approvals is still a tie at zero, and Recursion's phenotypic-data-scale lead is intact while its capital-depth disadvantage only sharpens. The falsifier the bull must clear is the 2026-2027 readouts producing real clinical and royalty economics — until a drug ships, the resource is unproven and the Power window stays open, not won.

Recursion Pharmaceuticals show your work

Bear \$0.38 Base \$0.75 Bull \$6.10 · Weighted \$3.85 (-2.9%)

ULTRA BEAR

\$0.64

BEAR

\$0.38

BASE

\$0.75

BULL

\$6.10

ULTRA BULL

\$31.11

ASSUMPTIONS

|                          |      |
|--------------------------|------|
| TAM Year-10 (\$B)        | 50   |
| Mature share (%)         | 0.3  |
| Mature op margin (%)     | 3    |
| Sales-to-capital         | 1.0  |
| Terminal WACC (%)        | 11.5 |
| Terminal growth (%)      | 3.0  |
| P(failure) (%)           | 85   |
| Scenario probability (%) | 15   |

10-YEAR DCF · \$B

| FY   | Rev  | Margin | FCF   | PV FCF |
|------|------|--------|-------|--------|
| FY27 | 0.06 | -550%  | -0.32 | -0.28  |
| FY28 | 0.07 | -380%  | -0.28 | -0.21  |
| FY29 | 0.08 | -260%  | -0.22 | -0.15  |
| FY30 | 0.09 | -170%  | -0.16 | -0.10  |
| FY31 | 0.10 | -110%  | -0.12 | -0.06  |
| FY32 | 0.11 | -70%   | -0.09 | -0.04  |
| FY33 | 0.12 | -40%   | -0.06 | -0.02  |
| FY34 | 0.13 | -20%   | -0.04 | -0.01  |
| FY35 | 0.14 | -5%    | -0.02 | -0.01  |
| FY36 | 0.15 | +3%    | -0.01 | -0.00  |

|                        |       |
|------------------------|-------|
| Σ PV explicit FCF      | -0.88 |
| + PV terminal (g 3.0%) | -0.02 |

EQUITY BUILD · \$B & PER SHARE

|                      |          |
|----------------------|----------|
| Operating EV         | \$-0.90B |
| + Cash & investments | \$0.67B  |
| = Equity value       | \$-0.23B |
| Raised over period   | \$1.15B  |
| Dilution by FY36     | +90%     |
| FY36 shares (M)      | 970      |

|                                    |         |
|------------------------------------|---------|
| DCF per share                      | \$-0.24 |
| × (1-P_fail) [15%]                 | \$-0.04 |
| + P_fail × distress [85% × \$0.80] | \$0.68  |

= Expected per share \$0.64

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y    | +10y   | +15y   | +20y   |
|--------|--------|--------|--------|
| \$1.10 | \$1.90 | \$3.28 | \$5.65 |
| 0.28×  | 0.48×  | 0.83×  | 1.42×  |

ASSUMPTIONS

|                          |      |
|--------------------------|------|
| TAM Year-10 (\$B)        | 50   |
| Mature share (%)         | 1.0  |
| Mature op margin (%)     | 22   |
| Sales-to-capital         | 1.1  |
| Terminal WACC (%)        | 11.0 |
| Terminal growth (%)      | 3.5  |
| P(failure) (%)           | 55   |
| Scenario probability (%) | 30   |

10-YEAR DCF · \$B

| FY   | Rev  | Margin | FCF   | PV FCF |
|------|------|--------|-------|--------|
| FY27 | 0.08 | -500%  | -0.41 | -0.35  |
| FY28 | 0.11 | -320%  | -0.38 | -0.29  |
| FY29 | 0.15 | -200%  | -0.34 | -0.23  |
| FY30 | 0.20 | -110%  | -0.27 | -0.16  |
| FY31 | 0.26 | -50%   | -0.19 | -0.10  |
| FY32 | 0.32 | -5%    | -0.07 | -0.04  |
| FY33 | 0.38 | +10%   | -0.02 | -0.01  |
| FY34 | 0.43 | +16%   | +0.02 | +0.01  |
| FY35 | 0.47 | +20%   | +0.06 | +0.02  |
| FY36 | 0.50 | +22%   | +0.08 | +0.03  |

|                        |       |
|------------------------|-------|
| Σ PV explicit FCF      | -1.13 |
| + PV terminal (g 3.5%) | 0.34  |

EQUITY BUILD · \$B & PER SHARE

|                      |          |
|----------------------|----------|
| Operating EV         | \$-0.79B |
| + Cash & investments | \$0.67B  |
| = Equity value       | \$-0.12B |
| Raised over period   | \$1.10B  |
| Dilution by FY36     | +72%     |
| FY36 shares (M)      | 877      |

|                                    |         |
|------------------------------------|---------|
| DCF per share                      | \$-0.14 |
| × (1-P_fail) [45%]                 | \$-0.06 |
| + P_fail × distress [55% × \$0.80] | \$0.44  |

= Expected per share \$0.38

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y    | +10y   | +15y   | +20y   |
|--------|--------|--------|--------|
| \$0.64 | \$1.08 | \$1.82 | \$3.06 |
| 0.16×  | 0.27×  | 0.46×  | 0.77×  |

ASSUMPTIONS

|                          |      |
|--------------------------|------|
| TAM Year-10 (\$B)        | 50   |
| Mature share (%)         | 1.8  |
| Mature op margin (%)     | 28   |
| Sales-to-capital         | 1.1  |
| Terminal WACC (%)        | 10.5 |
| Terminal growth (%)      | 4.0  |
| P(failure) (%)           | 35   |
| Scenario probability (%) | 32   |

10-YEAR DCF · \$B

| FY   | Rev  | Margin | FCF   | PV FCF |
|------|------|--------|-------|--------|
| FY27 | 0.10 | -420%  | -0.44 | -0.39  |
| FY28 | 0.14 | -260%  | -0.40 | -0.31  |
| FY29 | 0.20 | -150%  | -0.35 | -0.24  |
| FY30 | 0.30 | -75%   | -0.32 | -0.19  |
| FY31 | 0.42 | -25%   | -0.21 | -0.12  |
| FY32 | 0.55 | +6%    | -0.09 | -0.04  |
| FY33 | 0.68 | +15%   | -0.02 | -0.01  |
| FY34 | 0.78 | +21%   | +0.07 | +0.03  |
| FY35 | 0.85 | +25%   | +0.15 | +0.05  |
| FY36 | 0.90 | +28%   | +0.21 | +0.07  |

|                        |       |
|------------------------|-------|
| Σ PV explicit FCF      | -1.16 |
| + PV terminal (g 4.0%) | 1.07  |

EQUITY BUILD · \$B & PER SHARE

|                      |          |
|----------------------|----------|
| Operating EV         | \$-0.09B |
| + Cash & investments | \$0.67B  |
| = Equity value       | \$0.58B  |
| Raised over period   | \$1.20B  |
| Dilution by FY36     | +59%     |
| FY36 shares (M)      | 810      |

|                                    |        |
|------------------------------------|--------|
| DCF per share                      | \$0.72 |
| × (1-P_fail) [65%]                 | \$0.47 |
| + P_fail × distress [35% × \$0.80] | \$0.28 |

= Expected per share \$0.75

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y    | +10y   | +15y   | +20y   |
|--------|--------|--------|--------|
| \$1.24 | \$2.04 | \$3.35 | \$5.52 |
| 0.31×  | 0.51×  | 0.84×  | 1.39×  |

ASSUMPTIONS

|                          |      |
|--------------------------|------|
| TAM Year-10 (\$B)        | 50   |
| Mature share (%)         | 5.0  |
| Mature op margin (%)     | 35   |
| Sales-to-capital         | 1.3  |
| Terminal WACC (%)        | 10.0 |
| Terminal growth (%)      | 5.0  |
| P(failure) (%)           | 15   |
| Scenario probability (%) | 15   |

10-YEAR DCF · \$B

| FY   | Rev  | Margin | FCF   | PV FCF |
|------|------|--------|-------|--------|
| FY27 | 0.12 | -350%  | -0.46 | -0.40  |
| FY28 | 0.20 | -180%  | -0.42 | -0.33  |
| FY29 | 0.32 | -70%   | -0.32 | -0.22  |
| FY30 | 0.50 | -5%    | -0.16 | -0.10  |
| FY31 | 0.75 | +12%   | -0.10 | -0.06  |
| FY32 | 1.05 | +20%   | -0.02 | -0.01  |
| FY33 | 1.40 | +26%   | +0.10 | +0.04  |
| FY34 | 1.80 | +30%   | +0.23 | +0.10  |
| FY35 | 2.15 | +33%   | +0.44 | +0.16  |
| FY36 | 2.50 | +35%   | +0.61 | +0.20  |

|                        |       |
|------------------------|-------|
| Σ PV explicit FCF      | -0.62 |
| + PV terminal (g 5.0%) | 4.29  |

EQUITY BUILD · \$B & PER SHARE

|                      |         |
|----------------------|---------|
| Operating EV         | \$3.67B |
| + Cash & investments | \$0.67B |
| = Equity value       | \$4.33B |
| Raised over period   | \$0.95B |
| Dilution by FY36     | +21%    |
| FY36 shares (M)      | 616     |

|                                    |        |
|------------------------------------|--------|
| DCF per share                      | \$7.03 |
| × (1-P_fail) [85%]                 | \$5.98 |
| + P_fail × distress [15% × \$0.80] | \$0.12 |

= Expected per share \$6.10

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y    | +10y    | +15y    | +20y    |
|--------|---------|---------|---------|
| \$9.82 | \$15.82 | \$25.48 | \$41.04 |
| 2.47×  | 3.99×   | 6.42×   | 10.34×  |

ASSUMPTIONS

|                          |      |
|--------------------------|------|
| TAM Year-10 (\$B)        | 50   |
| Mature share (%)         | 10.4 |
| Mature op margin (%)     | 40   |
| Sales-to-capital         | 1.5  |
| Terminal WACC (%)        | 9.5  |
| Terminal growth (%)      | 6.0  |
| P(failure) (%)           | 8    |
| Scenario probability (%) | 8    |

10-YEAR DCF · \$B

| FY   | Rev  | Margin | FCF   | PV FCF |
|------|------|--------|-------|--------|
| FY27 | 0.14 | -280%  | -0.43 | -0.39  |
| FY28 | 0.26 | -100%  | -0.34 | -0.27  |
| FY29 | 0.46 | +0%    | -0.13 | -0.09  |
| FY30 | 0.78 | +10%   | -0.14 | -0.09  |
| FY31 | 1.25 | +20%   | -0.06 | -0.04  |
| FY32 | 1.95 | +27%   | +0.06 | +0.03  |
| FY33 | 2.85 | +32%   | +0.31 | +0.15  |
| FY34 | 3.80 | +36%   | +0.73 | +0.31  |
| FY35 | 4.55 | +38%   | +1.23 | +0.47  |
| FY36 | 5.20 | +40%   | +1.65 | +0.58  |

|                        |       |
|------------------------|-------|
| Σ PV explicit FCF      | +0.67 |
| + PV terminal (g 6.0%) | 17.57 |

EQUITY BUILD · \$B & PER SHARE

|                      |          |
|----------------------|----------|
| Operating EV         | \$18.24B |
| + Cash & investments | \$0.67B  |
| = Equity value       | \$18.90B |
| Raised over period   | \$0.50B  |
| Dilution by FY36     | +10%     |
| FY36 shares (M)      | 560      |

|                                   |         |
|-----------------------------------|---------|
| DCF per share                     | \$33.75 |
| × (1-P_fail) [92%]                | \$31.05 |
| + P_fail × distress [8% × \$0.80] | \$0.06  |

= Expected per share \$31.11

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y     | +10y    | +15y     | +20y     |
|---------|---------|----------|----------|
| \$48.97 | \$77.10 | \$121.37 | \$191.07 |
| 12.34×  | 19.42×  | 30.57×   | 48.13×   |

Recursion Pharmaceuticals

People · Opportunity · Context · Deal

Bear \$0.38 Base \$0.75 Bull \$6.10

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Najat Khan, Ph.D.

0 yrs in seat

1%insider ownership

MEDIUMkey-person risk

**Capital allocation (realized)**  
A leadership transition is in progress: co-founder Chris Gibson stepped down as CEO and Najat Khan (non-founder; joined 2024 as Chief R&D/Commercial Officer, ex-J&J Chief Data Science Officer, ex-BCG) became President & CEO effective January 1, 2026. Capital goes to the AI drug-discovery platform and the 2026-2027 clinical readouts; the all-stock Exscientia acquisition closed in early 2025 (Recursion holders ~74% / Exscientia ~26%). Pre-product and cash-consuming — no dividend or buyback. NVIDIA fully exited its stake in February 2026.

**Incentive alignment**  
Insider economic ownership is low: founder Gibson held ~1% economically after his June 2026 filing, and the new CEO's alignment is option-heavy rather than a founding stake. The dominant alignment lever the thesis relied on — the founder — is being removed as Gibson exits. That exit continued visibly through July 2026: Form 144 notices show Gibson disposing of roughly 100k shares a day plus a 340,440-share block into July 1-2, co-founder Borgeson also filing Form 144s, and near-daily insider sale notices across July 10-21 — the supply overhang Yahoo Finance tied to the 7/22 52-week low.

- GOVERNANCE    FLAGS
- dual-class (Class B = 10 votes) but effectively collapsed: only ~5.5M Class B remain versus ~522M Class A, and the structure auto-sunsets by ~2027

co-founder Chris Gibson stepped down as CEO (Jan 2026) and did not seek re-election to the board at the June 2026 annual meeting — founder leaving entirely

CEO handed to a non-founder professional (Khan) after ~12 years of founder leadership — a transition year

continued founder/insider Form 144 selling through July 2026 (Gibson ~100k shares/day plus a 340,440-share block into Jul 1-2; co-founder Borgeson also filing; near-daily notices Jul 10-21) — an extension of the flagged founder exit

NVIDIA fully exited its equity stake (February 2026)

PEOPLE    READ

A transition year: the founder is stepping off both the CEO seat (January 2026) and the board (June 2026), and a non-founder professional now runs the company — which removes the founder-alignment leg but also retires the dual-class super-voting (already nearly fully converted, sunsetting ~2027) toward one-share-one-vote. Insider economic ownership is low. The platform, not any individual, is the asset, so key-person risk is moderate rather than high.

THE FOUR LEGS

People

observable composite · 1-5

Opportunity

The scenario distribution · the business snapshot

Context

The 7 Powers analysis (Power Origination)

Deal

Open-market common — entry price weighed against the probability-weighted fair value + position sizing.  
-2.9% vs spot \$3.97



# Recursion Pharmaceuticals

supporting analysis · disclaimers · glossary

Bear \$0.38 Base \$0.75 Bull \$6.10

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Cash cushion is real**

~\$1.3/share of net cash and runway to early 2028 mean the near-term risk is dilution, not insolvency — the floor is firm.
- 2 **Three pharma partners paying**

Roche/Genentech (\$213M received), Sanofi (\$134M, fifth milestone Feb 2026) and Bayer validate that pharma will pay for the platform.
- 3 **De-rated price, fat right tail**

Down ~19% TTM, the equity is a cheap option — ~88% of the expected value sits in the bull and ultra-bull, priced lightly.
- 4 **Compute-scale advantage**

BioHive-2 plus automated Phenomaps generate proprietary phenotypic data at a scale rivals cannot easily match — the raw material of a cornered resource.
- 5 **Milestones could self-fund**

If readouts hit, milestone and royalty income reduce future raises, shrinking the dilution that drags the base and bear.

FALSIFICATION TRIGGERS

|                                                                                                                                                                                                                     |                                                                                                                                                                                                            |                                                                                                                                                                                              |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bull validation</b><br>REC-617 combo data (1H27) and REC-4881 registrational path (2H26) read out positive; new or expanded pharma deals with upfront and royalty terms; raises shrink as milestones fund spend. | <b>Bear validation</b><br>Pipeline readouts slip or disappoint; milestone revenue stays lumpy (Q1'26 was only \$6.5M); an equity raise on weak terms confirms dilutive stagnation; partners do not expand. | <b>Reframe needed</b><br>A drug actually reaches approval and royalty economics, shifting the story from option-on-platform to cash-flow; or a partner walks and the platform thesis breaks. |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

|                                                                                                                                                       |                                                                                                                                                                 |                                                                                                                                                                                              |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Recursion OS</b> — Recursion's integrated platform — automated wet-lab biology plus AI/supercomputing — for finding and advancing drug candidates. | <b>Phenomap</b> — A large map of how cells change appearance (phenotype) under genetic or chemical perturbations, used to spot disease-relevant drug effects.   | <b>Milestone / collaboration revenue</b> — Payments from pharma partners (Roche, Sanofi, Bayer) for upfronts and progress, not from selling an approved product — RXXR's only revenue today. |
| <b>p_fail</b> — The modeled probability the scenario ends in failure (no economically-meaningful drug), driving the equity toward the distress floor. | <b>Sales-to-capital (s2c)</b> — How much new revenue each dollar of reinvested capital produces; sets how fast revenue can grow before fresh capital is needed. | <b>Distress floor</b> — The ~\$0.80/share residual value (cash and salvage) the equity defaults to in a failure outcome, setting a floor under the expected value.                           |